

# Labor Force with Public and Private Employment

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## Composition of labor force (labor force size is exogenous)

① Share  $u$  of workers is unemployed

→ unemployment is wasteful, no home production by unemployed workers

② Share of  $v$  workers who are employed & recruiting

→ workers do not produce consumable services when recruiting

→ both households & government recruit in a similar way & need recruits to fill vacancies & hire workers

→ Beveridge curve  $U(u)$  links # recruits to # unemployed workers

(→ in US, one vacancy requires one recruit so # recruits can be measured by # of vacancies)

③  $1 - (u + v)$  workers are employed & producing services

(3a) share  $c$  of labor force employed  
by households & producing private  
services  $\rightarrow$  private <sup>productive</sup> employment.

(3b) share  $g$  of labor force employed  
by government & producing public  
services  $\rightarrow$  public productive employment

$c + g =$  total productive employment

$$c + g = 1 - (u + v)$$

$$c = 1 - (u + v) - g$$

public employment  
productive

distortion

private productive  
employment

nonproductive use of labor  
(recruiting + job searching)